

Employing in Thailand

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Labour Protection Act (LPA)
- **Monthly payroll** — salary payments in THB, itemised payslips (PND1 filing)
- **Tax withholding** — progressive personal income tax withheld monthly
- **Social Security** — SSO contributions covering sickness, maternity, disability, death, unemployment and pension
- **Leave and termination management** — notice periods, entitlements and statutory severance guidance

Employment Conditions

Contracts & Probation

The Labour Protection Act (LPA) sets minimum standards for almost all employees. There is no statutory minimum or maximum probation period, but 119 days is the most common length in practice — deliberately kept just under 120 days, the threshold at which full severance entitlement begins.

Item	Detail	Legal Basis
Probation period	No statutory minimum/maximum; 119 days common in practice	Employer discretion
Severance threshold	Full severance protection begins at 120 days' service	Labour Protection Act
Written contract	Not mandatory in all cases but strongly recommended	Labour Protection Act

Working Hours & Overtime

When Worked	Pay Rate	Authority
Standard hours	8 hrs/day, 48 hrs/week	Labour Protection Act
Weekday overtime	150% of hourly rate	Labour Protection Act
Rest day worked (normally required)	100% additional (200% total)	Labour Protection Act
Rest day overtime (beyond 8 hrs)	300% of hourly rate	Labour Protection Act

Minimum Wage & Social Security (2026)

Measure	Rate	Notes
Minimum wage	Varies by province (Bangkok among the highest)	Reviewed periodically by provincial tripartite committees
SSO employer contribution	5% of monthly wages	Wage ceiling raised to THB 17,500/month from 1 Jan 2026 (from THB 15,000), max contribution THB 875/month
Employee Welfare Fund (EWF)	Not yet in force	Additional severance-style scheme expected from October 2026

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	6 days/year minimum	Employer	After 1 year of continuous service; many employers offer more
Sick Leave	Up to 30 days/year, fully paid	Employer	Medical certificate required for 3+ consecutive days
Maternity Leave	98 days (including holidays)	Employer (45 days) + SSO (45 days, 50% of wage)	Available for up to 2 pregnancies under most schemes
Business Leave (personal)	3 days/year minimum	Employer	Statutory minimum under the LPA

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Social Security (5%, capped at THB 17,500/month wage base)	\$25.00	0.83%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$3,525.00	~117.5%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. Thailand has some of the lowest mandatory employer payroll costs in Southeast Asia — SSO is capped at a low wage base, so it barely registers for professional-level salaries. Employee deductions (withheld separately) include the same 5% SSO share (capped) and

progressive personal income tax.

Personal Income Tax (PIT, 2026)

Thailand applies progressive rates from 0% to 35% on annual assessable income, after generous personal allowances and deductions.

Annual Taxable Income (THB)	Rate
0 – 150,000	0%
150,001 – 300,000	5%
300,001 – 500,000	10%
500,001 – 750,000	15%
750,001 – 1,000,000	20%
1,000,001 – 2,000,000	25%
2,000,001 – 5,000,000	30%
Above 5,000,000	35%

Personal allowance THB 60,000; statutory severance pay is exempt from PIT up to the lower of 400 days' wages or THB 600,000.

Termination & Separation

Notice Periods

Thailand requires notice equal to one full pay cycle in advance (commonly monthly), or payment in lieu, for indefinite-term employment terminated without cause.

Statutory Severance Pay (LPA Section 118)

Length of Service	Severance Pay
120 days – 1 year	30 days' wages
1 – 3 years	90 days' wages
3 – 6 years	180 days' wages
6 – 10 years	240 days' wages
10 – 20 years	300 days' wages
20+ years	400 days' wages

★ HERO TIP

Thailand's 119-day probation convention exists precisely to stay one day short of the 120-day threshold where full severance protection begins — but it does not remove all termination risk, since unfair dismissal claims can still arise even during probation. A separate Employee Welfare Fund, expected to launch around October 2026, will add a further severance-style layer on top of the LPA scale — budget for this change later in the year.

Public Holidays 2026

Thailand observes around 19 public holidays in 2026, blending fixed royal/national dates with Buddhist holy days that follow the lunar calendar and shift each year.

Date	Holiday	Type
1 January	New Year's Day	National
3 March	Makha Bucha Day	National (Buddhist calendar)
6 April	Chakri Memorial Day	National
13–15 April	Songkran (Thai New Year)	National — Thailand's most significant holiday
1 May	Labour Day	National (private sector)
4 May	Coronation Day	National
31 May (observed 1 June)	Visakha Bucha Day	National (Buddhist calendar)
3 June	Queen Suthida's Birthday	National
28 July	H.M. King Vajiralongkorn's Birthday	National
23 October	Chulalongkorn Day	National
5 December (observed 7 December)	King Bhumibol's Birthday / National Day / Father's Day	National
10 December	Constitution Day	National
31 December	New Year's Eve	National

Buddhist holy days (Makha Bucha, Visakha Bucha, Asarnha Bucha, Khao Phansa) follow the lunar calendar and are confirmed annually by the government. The Cabinet frequently declares additional bridge/special holidays during the year.

Ready to hire in Thailand?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Thailand employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).